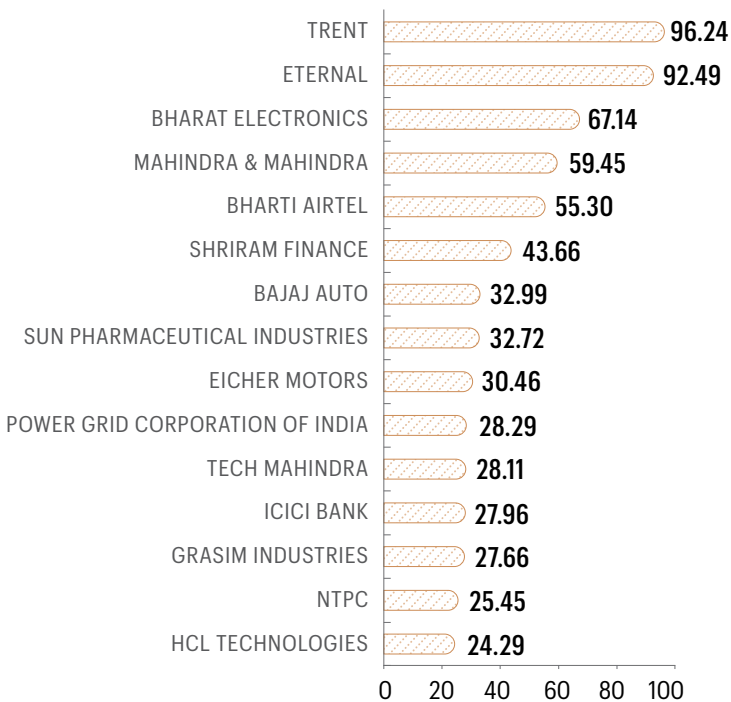


50% The market cap of Nifty50 companies is half the overall mcap of top 500 profitable firms

VALUE LEADERS

• Trent and Eterna lead by nearly doubling investor wealth



% CHANGE IN 1-YEAR AVG MARKET CAP

SOURCE ACE EQUITY

infrastructure, power—especially renewables—financial services, consumer goods, and defence as the key growth engines.

Additionally, he believes financial services sector is expected to contribute significantly, along with the consumer goods and defence industries. “These areas present promising opportunities for expansion and development in the market,” says Bhowar.

Anil Rego, Founder and Fund Manager at Right Horizons PMS, sees push from financials, cement, pharmaceuticals and consumer durables sectors.

“Despite a moderation in profit growth, financials remain core to Nifty50 weight-age and are expected to benefit from lower interest rates, stable asset quality, and cost rationalisation,” says Rego. Meanwhile, with the government’s continued push for infrastructure, recovery in rural housing, and cooling input costs, margins are likely to expand in the cement sector.

On the pharma sector, Rego says with global health spending on the rise and India’s strong positioning in low-cost manufacturing, the sector is likely to see an uptick in market cap. He also adds that a low base, festival-led demand, and improving rural sentiment should aid both volume and margin expansion, supporting higher valuations and market cap growth of the consumer durables sector.

Despite the optimism, there’s no ignoring the heightened global volatility. Export-oriented sectors are likely to face pressures, including higher tariffs and slow growth in developed economies. In August, Trump doubled US tariffs on India to 50%, penalising the country for purchasing Russian crude.

“If high tariffs impact sales of Chinese goods in the US, China could export to other countries at lower prices, potentially impacting volumes and margins of Indian companies,” says Bansal of ASK Investment Managers.

Bhowar expects 8-9% growth in Nifty’s market cap in the next year but cautions against risks from slower domestic growth, foreign capital outflows, and macro instability. But, he notes that India’s recovery, demographic advantage and technological progress—especially in AI—create a “vibrant environment for growth and opportunity.”

Dalal Street’s resilience will be put to the test, but companies and sectors that combine earnings visibility with structural growth tailwinds could be rewarded. **BT**

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